

Alphaville Sovereign bonds

Bond investors ♥ OATs

Sacré bleu



President Macron probably not actually guessing French bond spreads over Germany, 30 September 2026 © J J GUILLEN/EPA/Shutterstock

Toby Nangle

Published SEP 30 2026

Could you be the FT's top trader? [Try our new stock picking game](#)

Ruptures in US bond markets have, understandably, been taking up quite a lot of headspace lately. Continued bond market woes are important, and the US Treasury market is the most important of them all. Unless you're French.

Because it won't have escaped any French bond-type's attention that the market for OATs is having a moment. And by moment we mean a bad one.

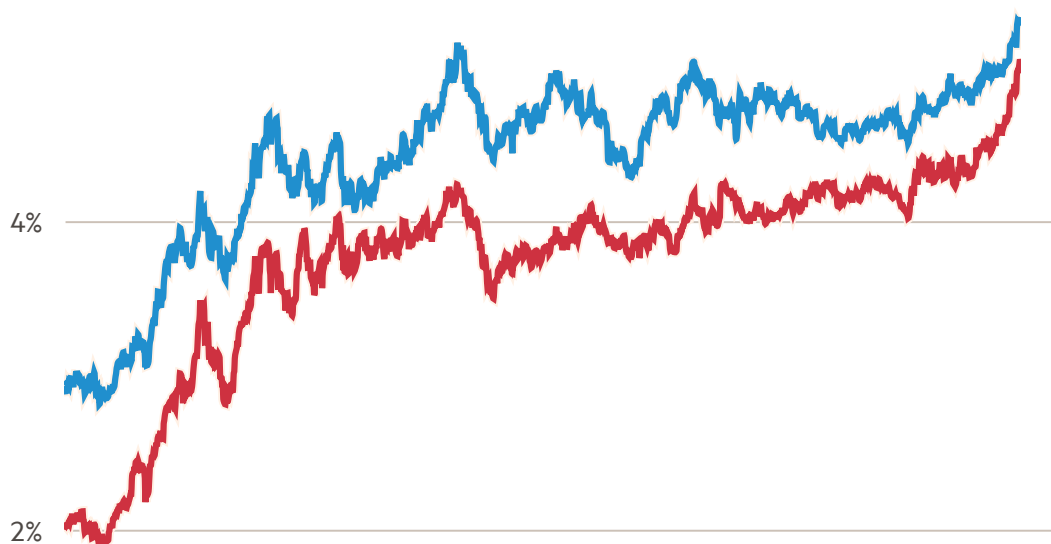
As MainFT [writes today](#):

The government has said the deficit will widen to 5.5 per cent of GDP this year, well above target. Slowing economic growth — France now lags its neighbours — has also complicated efforts to improve its finances.

We know what you're thinking. A 5.5 per cent budget deficit looks a little weedy compared to the Americans' whopping [6 per cent of GDP](#). And pictured next to the rise in US yields, things really don't look exceptionally awful:

French yields still can't catch US Treasuries

10 year yield to maturity on French and US government bonds



But this is to compare apples and pears.

US Treasury prices are sinking/yields are rising for some combination of reasons (a higher expected path for Fed funds, rising term premia, ~~higher breakeven inflation expectations~~), and while some of the rise in French bond yields is going to reflect Eurozone versions of these, these should be captured also in changes in German bond yields.

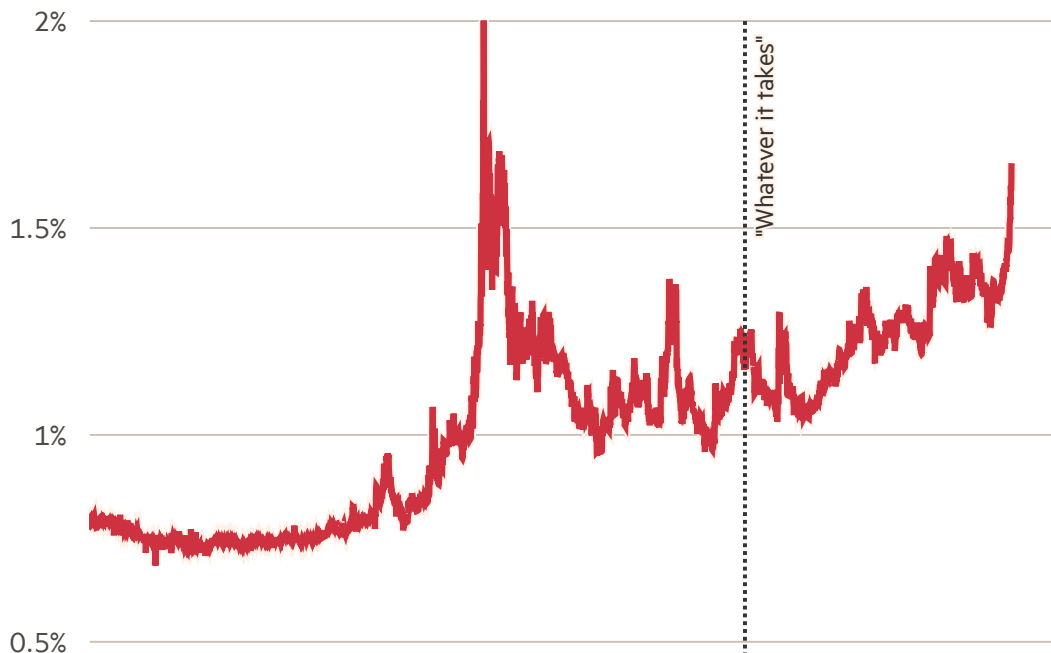
Unfortunately, if you compare French and German bond yields then it's hard to escape the idea that it's specifically French debt that investors *really* don't like holding:

Zut alors!

Additional yield offered on 10 and 30yr French government bonds versus 10 and 30yr German government bonds

30yr bond spread ▼

Spread over German bunds



Never in the post-[Whatever-It-Takes](#)- era have 10-year and 30-year French bond spreads traded as high as they do now over their German equivalents.

Are investors spooked [by polls showing](#) that the Eurosceptic far-right Marine Le Pen is on track to win the presidency next year? Or by leftist challenger Jean-Luc Mélenchon's [idea to cancel some of France's debt](#)? Or maybe just by the [seeming inability of the current minority government](#) to win any kind of support from left or right to shrink next year's budget deficit down to a mere 5 per cent of GDP?

Alphaville had been warming up for possible French debt fireworks in 2027, given all the [exciting things](#) scheduled to happen, but it's increasingly looking like that timeline is being brought forward.

[Copyright](#) The Financial Times Limited 2026. All rights reserved.

Follow the topics in this article

Sovereign bonds

French presidential election

France

Alphaville

Toby Nangle